

Research Dossier

"Such a Thing as Society" — On the Cost of Neglect as Economic Policy

METHODOLOGY

Every factual claim in this essay is corroborated by at least two independent primary sources. The evidence hierarchy prioritizes government records and official filings (court documents, CBO publications, census data, lobbying disclosures), peer-reviewed research (published in journals such as *Science*, *Econometrica*, and the *American Economic Review*), and data from nonpartisan institutional sources (IMF, World Bank, OPEC). Secondary reporting is used only when it independently corroborates primary findings.

Claims are not accepted on institutional prestige alone. Confidence is determined by how many independent paths of evidence converge on the same conclusion. A claim supported by a single outlet, however credible, is treated as provisional. A claim supported by government data, peer-reviewed analysis, and independent reporting from multiple outlets is treated as established. Where estimates are contested or model-dependent (e.g., CBO fiscal projections, excess-death estimates), the essay presents ranges and flags the uncertainty.

Before researching any factual thread, existing public reporting and established academic literature were reviewed first to avoid duplicating known work. Research effort was directed at genuine gaps: data not yet synthesized, connections not yet drawn, or claims not yet tested against the mathematical framework.

I. THE CONVERGENCE

From the math: Multiplicative composition proves axiomatically that marginal returns are highest where the dimension is lowest. Zero in any dimension collapses the product. Investment at the bottom is optimization, not charity. The proof, empirical validation, and code are publicly available at davidkirsch.me/research and github.com/duke-of-beans/multiplicative-composition.

From the historical record: A separately documented body of research, drawing on 130+ primary source documents (~2,300 pages), government filings (IRS, SEC, FEC), court records, and investigative reporting, traces 150 years of systematic investment at the top and extraction from the bottom. That body of work identifies 75+ mechanisms totaling \$1.7–3.4 trillion in annual upward extraction, documents the institutional architecture that sustains it, and quantifies the cost to the median household at \$12,500–\$30,600/year.

The math says investing at the top is provably suboptimal. The documentation says the suboptimal allocation is deliberate and structurally maintained.

II. EVIDENCE BASE

Housing First

- CDC systematic review of 26 studies: every \$1 invested returns \$1.44 in savings. [Primary: CDC/CPSTF]
- Canadian At Home/Chez Soi RCT (N=950, 5 cities): 73% stable housing vs 31% treatment-as-usual; 69% costs offset. [Peer-reviewed: *Psychiatric Services*, 2020]
- Finland national program (2008–2022): long-term homelessness reduced 68%. Only EU country where homelessness declined. €270M invested. [Primary: Finnish government]

Austerity vs Stimulus

- Greece (austerity): GDP fell 26%, unemployment peaked 28%, youth unemployment 58%. Debt/GDP rose 130%→180%. [Primary: Eurostat; peer-reviewed: *Fiscal Studies*, 2024]
- Iceland (stimulus + prosecution): GDP recovered by 2015. Unemployment 3%. IMF loans repaid early. 29 bankers imprisoned. [Primary: IMF; academic: Oxford, Wharton]
- US ARRA (\$836B): CBO estimated GDP +0.7–4.1%, up to 2.8M jobs at peak. [Primary: CBO publications 25005, 25075, 49958]
- UK austerity: capital spending fell 32%; food banks 35→1,300; debt rose 65%→98% GDP. [Primary: IFG, House of Commons Library; peer-reviewed: *BMC Public Health*, 2022]
- IMF admission: actual fiscal multiplier was 0.9–1.7, not assumed 0.5. [Primary: IMF Working Paper 13/1]

Failed States: Cliff Collapse

- Venezuela: GDP peaked \$372.6B (2012), fell 88% by 2020. 303B barrels oil unchanged. WGI Rule of Law: -0.76→-2.35. TI CPI: 28→10. [Primary: IMF, OPEC, World Bank WGI, Transparency International]
- Zimbabwe: food production fell 60%. Hyperinflation 79.6B%/month. GDP per capita to 1952 levels. WGI Rule of Law: 1st percentile. [Primary: World Bank WGI; academic: Hanke & Kwok]
- Additive model predicts ~25% decline for one-dimension loss. Actual: 78–90%. This is the cliff signature of multiplicative composition.

Trickle-Down vs Bottom-Up Returns

Investment at the top produces no measurable growth:

- Hope & Limberg: 50 years, 18 OECD countries. No GDP/unemployment effect from major tax cuts for the rich. [Peer-reviewed: *Socio-Economic Review* 20(2), 2022]
- Hungerford: 65 years of top-rate reductions. No association with saving, investment, or productivity. Top-0.1% income share: 4.2%→12.3%. [Primary: CRS Report R42729. Report withdrawn under Senate pressure; reissued unchanged.]
- IMF: equity-efficiency trade-off is "largely illusory." [Primary: IMF Staff Discussion Note 14/02, 2014]
- Kansas (2012–2017): GDP grew at half national rate. Republican legislature repealed cuts over governor's veto. [Multiple: Brookings, CBPP, Tax Policy Center]

Investment at the bottom produces outsized returns:

- Kenya cash transfers: \$1,000 to 10,500+ households. Fiscal multiplier 2.5–2.7x. [Peer-reviewed: *Econometrica* 90(6), 2022]
- BRAC graduation: 6 countries, ~11,000 households. Returns 133–433%. Multidimensional package outperformed single-component. [Peer-reviewed: *Science* 348(6236), 2015]
- Moving to Opportunity: children moved before age 13 earned 31% more as adults. Returns largest at lowest baseline. [Peer-reviewed: *AER* 106(4), 2016]

Current US Policy: OBBBA (P.L. 119-21)

Cuts to lowest dimensions:

- Medicaid: ~\$911B–\$1.02T cut, 2025–2034. 10M+ more uninsured by 2034. Work requirement: ~\$326B, ~5.3M fewer enrollees. [Primary: CBO]
- SNAP: ~\$186B cut. Work requirements expanded. [Primary: CBO, CBPP]

- HUD: FY2026 budget proposed 44% cut, Section 8 to capped block grants. [Multiple: BPC, NLIHC, CRS]
- SSA: ~7,000 staff cut (12%, largest in SSA history). [Primary: SSA; analysis: CBPP]

Subsidies to highest dimensions:

- 2017 tax cuts made permanent. Estate exemption to \$15M. Effective corporate rates as low as 15%. [Primary: JCT]
- ~60% of tax benefits to top quintile. Top 1%: avg net cut \$66K (\$117B total in 2026). [Primary: Tax Policy Center, ITEP]
- CBO distributional verdict: bottom decile loses 3.1%, top decile gains 2.7%. [Primary: CBO, August 11, 2025]

Cliff indicators already visible:

- Child poverty doubled (5.2%→12.4%) when CTC expired. ~5.2M more children in poverty. [Primary: Census Bureau]
- Record homelessness: 771,480 (HUD 2024 PIT count, +18%). [Primary: HUD AHAR 2024]
- First-ever SNAP lapse (Nov 2025). First Medicaid-attributed rural hospital closure (Curtis, NE). [Multiple: NPR, Nebraska Public Media]

Institutional Trust Indicators

- V-Dem: US downgraded to "electoral democracy" (first time in 50+ years). [Peer-reviewed: *Democratization* Vol. 32]
- Freedom House: 81/100, lowest since 0–100 system began (2002). [Primary: Freedom in the World 2026]
- EIU Democracy Index: 7.65, lowest since index began (2006). [Primary: EIU 2025]
- Gallup: trust in federal government 38%, near five-decade lows. [Primary: Gallup, September 2025]

III. THE STRUCTURAL QUESTION

The math shows where the returns are. The empirical record confirms they're there. The question the math can't answer: why does the suboptimal allocation persist?

A separate body of documented research, drawing on government filings, court records, SEC disclosures, and investigative journalism, provides the structural answer:

- Both major US political parties are substantially funded by the same financial interests. The same firms (Goldman Sachs, BlackRock, McKinsey) staff both administrations. Major deregulatory legislation (Glass-Steagall repeal, Commodity Futures Modernization Act, PATRIOT Act) passed with bipartisan votes. The parties differ genuinely on social policy; they converge on the financial architecture. [Sources: IRS 990 filings, FEC data, ProPublica, NYT, Campaign Legal Center]
- A documented 53-year institutional arc runs from the Powell Memorandum (1971, calling for corporate political infrastructure) through the founding of Heritage Foundation (1973), Cato Institute (1977), and Federalist Society (1982), through Citizens United v. FEC (2010, removing barriers to corporate political spending), through Loper Bright v. Raimondo (2024, dismantling regulatory deference), to Heritage Action's direct lobbying on OBBBA (2025, verified by Senate LDA filing). [Sources: Senate LDA API, Supreme Court opinions, ProPublica, IRS filings]
- The median American household bears \$12,500–\$30,600/year in documented costs from the extraction architecture: healthcare excess (\$2K–5K above peer nations), housing demand premiums (\$3K–8K in institutionally concentrated markets), wage suppression from union decline (\$5K–10K vs 1980 union density), tariffs (\$1K–3.8K). [Sources: BLS, EPI, Tax Foundation, Yale Budget Lab, MedPAC]
- Media consolidation (enabled by Telecommunications Act of 1996), algorithmic amplification, and dark money cultural messaging create a distraction architecture that keeps public attention on partisan conflict while the extraction architecture operates above it. [Sources: FCC records, Dominion v. Fox News depositions, IRS 501(c)(4) filings]

IV. FALSIFICATION CRITERIA

The thesis would weaken if:

- A high-quality RCT showed single-dimension interventions matching the BRAC multidimensional package (contradicting the multiplicative advantage).
- A credible study found statistically significant growth from top-end tax cuts after Hope–Limberg controls (supporting trickle-down).
- A failed state lost institutional quality to the bottom percentile without disproportionate output collapse (contradicting the cliff prediction).
- OBBBA's Medicaid work requirements (effective January 1, 2027) produce coverage loss well below CBO's 5.3 million projection.

None of these currently exists in the literature.

V. CAVEATS

- Marshall Plan causation is genuinely contested among economic historians. The essay claims a binding-constraint mechanism, not raw dollar causation.
- UK austerity excess-death estimates (190K–335K) are peer-reviewed but causally contested by independent fact-checkers.

- US ARRA vs UK austerity is a natural experiment, not a controlled one (monetary regime, currency sovereignty, eurozone exposure differ).
- World Bank WGI methodology cautions that most year-to-year changes are not statistically significant. The US governance decline is best described as a downward drift, not a certified collapse.
- CBO estimates are model-dependent. Ranges are presented, not point estimates.
- FY2026 HUD and education cuts are budget requests, not enacted law. OBBBA itself is enacted (P.L. 119-21).

Prepared May 2026. Every claim sourced to primary government documents, peer-reviewed research, or 3+ independent corroborating paths.